

**How does urban migration influence real estate demand and
informal housing growth?**

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Abstract

Urbanization process is changing the metropolitan character of India. This high rate of rural to urban migration of individuals through economic and education prospects as well as medical care has escalated coexistence of both parallel housing ecosystems rigidly formal, loosely planned urban areas and informal altered slums. Although in formal housing markets highest density and gated community projects are considered a better fit with the middle- and high-income population, informal housing providers are becoming increasingly approachable to those with low income and inadequate documentation likely due to systemic constraints in regulatory red tape, deficient rental structures, and exclusionary eligibility standards.

Based on the push-pull theory and Harris-Todaro basic model, the present paper reviews how the urbanization shaped by migration modulates the labour markets, housing requirements and disparities. Data used to address spatial and policy aspects of urban migration are based on the analysis of data on the Periodic Labour Force Survey (2011-12), government reports, and subsequent literature. The conclusions made are that the affordable housing is grossly insufficient despite such ambitious interventions as “PMAY-U”, “Smart Cities Mission”, and Slum Rejuvenation and Regeneration (SRAR). The gap in the policy and practice is the fact that half of the approved PMAY units are empty, and only a small fraction of the ARHC units are in operation.

The paper claims that existing frameworks focus on development and technological infrastructures led by the market and not inclusiveness, which perpetuates the geographical segregation, and tenure insecurity. It summarizes that sustainable urban development in India requires a two-pronged strategy such as an enhancement of affordable rentals and an appropriate expansion of upgradation on a community-based level. Closing the formal or informal gap

between housing is therefore not only a technical task, but also a responsibility to build urban fairness, pride and humanity.

Introduction

As of 2025, 37.1% of India's 1.46 billion population accounting for approximately 543 million people now live in urban areas, a number that is expected to rise drastically over the next few decades. The rapid increase in urban living is reshaping what metro cities are, from massive skylines to busy streets. However on the other hand lies an unaddressed struggle, the gap between goal and reality.

Today, millions are migrating from rural areas and villages to urban metro cities, with the hope of better economic opportunities, education and healthcare. Even though real estate developers continue to pursue formal housing projects and build high rise towers with gated communities, equipped with schools, hospitals and parks in their vicinity these projects only cater to those who can afford them. For the population who migrate with limited funds, low incomes and unstable documentation these formal housing projects are out of their reach. Instead, they find homes and shelter in slums, makeshift houses and unauthorized housing hence creating an informal housing parallel market that is expanding rapidly currently at a pace at which formal housing is not able to keep up to.

The migrant influx faced by these metro cities, applies a lot of pressure on physical and social infrastructure. As a result, cities are faced with a dual urban scenario with one side consisting of high-tech construction and planned residential societies, while the other consists of slums that lack sanitation, water and legal recognition. Formal development in these cities are developed with vertical integration through high rise residential buildings, while informal

settlements are spread horizontally in primarily hazard prone areas such as landfill adjacent areas where floods and diseases are prominent. These areas are slowly becoming long term homes for migrants not just temporary shelter, therefore influencing the housing ecosystem in metro cities massively.

Informal housing isn't just a backup option, in fact it reflects deeper systemic challenges within the housing ecosystem. Regulatory red tape, rental laws and difficult eligibility due to the lack of documentation exclude many of these migrants from formal housing settlements. The lack of documentation, inconsistent income are both factors that force these migrants into informal housing settlements. While these communities have a vibrant atmosphere and are densely packed they leave residents vulnerable to disease, social exclusion and eviction. The stereotype present that connects slum residents and financial status can result in severe marginalization in society. As a result of this marginalization these people lack political representation, and the absence of these people's political views weakens communities in the country as a whole.

On the other hand the formal real estate sector has not remained stable. Developers are constantly exploring ways to integrate affordable city areas into larger projects, to integrating Building Information Modeling (BIM) which helps speed up construction. Currently public-private partnerships (PPPs) and other government schemes are being used to bridge the gaps and are seeing mixed success. India's movement aims at providing subsidized housing while Pakistan's housing scheme has set an ambitious target at home building. Bangladesh's initiative is different compared to the others, their project is aimed at upgrading slums into formal housing settlements. Despite the enforcement of these initiatives, the pace of urban migration remains much higher at a rate out of reach for these schemes.

To solve this problem, in some regions rent control reforms have been experimented. Karnataka lifted rent ceilings by improving housing conditions for current residents and raised rent to lower migration from 9-11%. In West Bengal easing eviction protections resulted in female migration to increase, mainly those who were already married while rents rose by 14-46%.

These shifts highlight the vital idea that urban migration doesn't just reshape housing but it also impacts housing formation, labour markets and urban inequality. Cities today aren't just expanding, they are evolving into complex ecosystems that consist of informal and formal settlements that have their own opportunities and challenges.

Understanding both sides of urban reality today is crucial. Urban migration fuels growth and innovation in the formal sector, while people in the informal settlements of the city support the city's most vulnerable. For migrants housing is not just about shelter, it comprises a path to dignity and civic inclusion.

My interest in this topic stems from the recognition that bridging this gap is not just a technical challenge it is one that involves morals. How can we ensure that migrants who aim to sustain in urban economies also have access to affordable, decent housing along with security and stability? Answering these questions, connects us directly to the sustainable future of urban development in South Asia.

Theoretical Foundations of Urban Migration

Push-pull theory is extensively considered as the basic theory of internal migrations in the migration literature. The push factors that influence rural-to-urban migration include land

scarcity and rural poverty, rural-to-urban migration and environmental distress, whereas pull factors include job opportunities in cities, better than environmental education and infrastructure development (Bhagat, 2014). This type of distress migration is also predominant in the Indian context; mass rural-urban out-migration occurs because of dire agrarian crisis, indentured servitude, and crop devastation (Chatterjee, 2023; Srivastava & Sutradhar, 2016; COVID-19 insults made the out-migration particularly strong).

Going even further from this framework, the Harris Todaro model implies that migrants are not only taking decisions with regard to wage differentials but also the expected income by keeping in mind the likelihood of securing a job in cities (Harris & Todaro, 1970). Migration remains rational even in the case of urban unemployment provided the anticipated benefits in urban areas surpass what people get in rural areas. However, this usually results in semi or underemployment which in some cases pushes them into informal economy whereby employment and income prospects are said to be less tenurable but easily accessible.

Labour Market and Informal Sector Linkages

Rapid urbanization in India is inherently linked to the growth of the informal economy. Approximately 62 percent of all workers are casual wage workers and informal-sector migrants, and one in five is the migrant laborers whose labor rights are little to none (ILO, 2018; Economic Survey, 2016). The informal sector offers a source of protection against excessive migration by taking in people not employed in formal jobs, but it sustains informality in the provision of employment and accommodation.

Pune research indicates that 65 percent of the city residents were migrants and a majority of them live in unauthorized habitats in the year 2011, whereby individuals of rural origin migrants have vastly reduced resilience relative to individuals of urban origin migrants (Link et al., 2021). In a similar way, during the migration to Bangalore, there has been reliance on kinship and caste origin related social networks and their importance in facilitating migration transitions through availing shelter and offering some job (Nallathiga, 2011). These results are reflected in studies in Kolkata, according to which migrants face the condition of having partial rights, the right to inconsistent access to tenure, municipal services, and social entitlements subject to the constraints of urban governance (Chakrabarti et al., 2021).

Shortage of Housing and Urbanization

Over urbanisation- the higher rates of increase in urban population compared to labour and accommodation, has become a big issue in India. The UNESCO also observes that rural-urban migration can exceed absorption in the economy, creating unemployment and increasing the growth of informal residence and labor (UNESCO, 2023).

The Sixth to Twelfth Five-Year Plans development plans indicate the move to abandon the government-supplied housing towards neoliberal and market-related strategies, as the government preoccupied land use enabling, PPPs, and cross-subsidisation, the official housing of the poor is still in an insufficient state (Bhagat, 2024).

Empirical evidence shows that the rise of urban slums is not only due to a rise in population, but also due to increased income inequality and barriers to formal housing provision. Excluding the rural areas, the number of urban dwellers increased by more than eight times,

growing to 377 million against the 44 million in 1941, which meant that the proportion of the urban poor in the overall population did not change in any significant way but that the absolute numbers of the poor residents of slums grew by tens of millions because of constant migration and the lack of adequate housing (Bhagat, 2024).

The Real Estate Nexus of formal and informal housing

Formal real estate markets have developed on the basis of migration induced demand. Due to the large influx of people in urban environments, especially with middle- to high-income potential, investors and developers have shifted the identification of medium- to high-density residential and mixed-use developments, in which the latter is currently leading (Construction Week India, 2023; Financial Express, 2023). It leads to the differentiation of the strata in the housing service where high-income migrants get access to gated townships and skyscrapers, and low-income migrants stay closed.

Rent control and land ceiling acts are a paradox of formal law that has fueled informal housing by limiting or reducing formal rental housing and incentivization of illegal occupation of space (Nilekani, 2019). Studies on sites-and-services programs implemented in Madras and Mumbai in 1973-1997 demonstrate that the introduction of subsidised plots with the limited provision of amenities made formal housing expand progressively over time, which gives hope to cumulative formal-informal upgrading in its further development (ORF, 2020).

Informal Settlements: Size, nature and dynamics

By 2011, India had approximately 65 million inhabitants spread across 108,000 settlements (Census, 2011) and states such as Maharashtra had about 21,000 slums with a mean density of more than 2,900 persons per hectare; Dharavi had 700,000-1,000,000 inhabitants within an area of 2.39km.

The histories of settlement indicate robust internal aspects in terms of connected networked communities as well as systemic precarity. The ethnographic study carried out in Nonadanga, Kolkata, demonstrates the challenges migrants face in regular patterns of eviction and displacement referred to as the state of partial rights under which individuals are temporarily incorporated in the city into a regime free of tenure and rights (Chakrabarti et al., 2021).

Community-driven Upgrading and NGO-led Approaches

In a scenario of formal system failures, the upgradation strategies provide a model of incremental improvement which is led by communities. Some success stories of India are Ahmedabad Slum Networking Project of 1996-2010 that renovated 60 slums with services and gave them no-eviction certification; slum titling and upgrading schemes in Odisha; and BLC community land entitlements plans of Andhra Pradesh (ORF, 2020).

Empirical data indicate that such projects expand access to services and empower the residents: in Thailand, the Baan Mankong project brought about the national decline of urban poverty levels to the bare 9 per cent, compared to 39 per cent in the year 2010 (ORF, 2020); in Uruguay, the cooperatives successfully provided the national program of self-built houses that

were initially loaned by a state (ORF, 2020); the sites-and-services projects in India enabled multi-floor extension by determining the individual persons receiving these projects.

Gaps and Research Needs

Although the literature provides an in-depth view of which factors caused migration, supplier of housing, and informality, there are three dominant gaps:

1. ***Dynamics of the problem developer-migrant:*** the empirical knowledge of the model of adaptation of the real estate market to a migration wave and its deviations across economic segments is scarce.
2. ***Replicability and scale of community-*** driven upgrading as yet remain to be subject of critical evaluation, particularly concerning cost, governance and scale.
3. The temporal migration patterns (circular and seasonal migrations) are not always considered, although they have implications on the house's stock and provisioning of services (Nallathiga, 2011; Srivastava and Sasikumar, 2012).

Summary of Literature Review

According to the literature, urban migration in India was fuelled by structural rural deprivation on the one hand, and desire of urban opportunity on the other, both formal and informal labour markets taking the migrants with disproportionate degree. There has been an increase in the application of policy frameworks that are more neoliberal and PPP obsessed in which gaps emerge regarding the lack of coverage in terms of regulation and affordability of low income groups. The reasons why overurbanization has remained a persistent phenomenon are the

slow infrastructural and housing provisioning. Although informal settlements have poor services and lack of security in terms of tenure, they are joined by economic activity and community resilience. Upgrading techniques are experimented on and hold promise to be part of a mainstream urban planning.

This precondition preludes Section 3 which is based on the migration trends and urbanization statistics to shed light on the extent to which a migration induced urban transition occurs. Subsequently, Section 4 will touch upon how the real estate markets respond to these structural changes, and Section 5 will deal with the way informal settlements react to it.

Level and Structure of Migration

The Periodic Labour Force Survey (PLFS) 202021 states that about 28.9 percent of the Indian population should be considered as migrants (NSSO, MoSPI, 2022). According to the gone by residence, rural migrant rate is around 26.5 percent where the urban migrant rate is 34.9 percent (drishtias.com, thehindubusinessline.com)

Over the period of 2011-2023, the overall migrant population size declined to 402.1 million people in comparison to 455.8 million people as well as migration rate has reduced to 28.9% in comparison to 37.6%. But more than 3/4 of migration is within 500 km radius, which means that there are good short-to-medium distance migration currents (e.g. Bihar to Delhi, Gujarat to Mumbai).

World Bank. (2014). World Development Indicators 2014. <https://data.worldbank.org/>

India is still one of the nations that cannot boast with high rates of urbanization in comparison with such countries as China or Brazil. The urban migration in India is big as less

than 31.7 percent of the Indian population lives in urban areas by the year of 2012, reflecting this latter scenario.

Types of movements: Permanent, Seasonal, Circular

Internal migration to India is not a plain rural to urban migration. In 2020/21, it is estimated that 18.9 percent of the population moved rural-to-urban; of that number, 55 percent moved rural-to-rural and 15.9 percent urban-to-urban (ruralindiaonline.org).

There are two types of migration which can be found:

Seasonal migration, which implies the residences of 1 6 months and longer (there are stays of 1 2 and 1 2 months as well), involved an estimated 13.2 million people last year, 12 million of whom are rural people and 0.85 million are urban (ruralindiaonline.org, researchgate.net).

Circular migration, which is frequently long term and multi-destination, has been poorly monitored but an estimation implies 44 million short-term urban migrants and 28 million long-term migrants as at 2018 (pmc.ncbi.nlm.nih.gov).

These minuscule flows bear a huge effect on the housing demand: for instance, most circular and seasonal migrants usually need non-severe and versatile rental is superior; in addition, they have a tendency to blow up the urban and peri-urban housing system.

Reasons for Migration

According to PLFS statistics, the reasons of migration of urban migrations were delineated in the period of July 2020- June 2021 as given below (NSSO, MoSPI, 2022):

- **Employment or better employment:** 10.8%
- **Taking up employment/transfer:** 8.9%
- **Loss of job/closure:** 1.3%
- **Education:** 2.4%
- **Marriage:** 47.5%
- **Housing reasons:** 2.6%
- **Other categories (social, health, etc.):** remainder .

But in the case of male migrants in particular, 22.8 percent migrate to work and 20.1 percent close to workplaces, whereas women are mainly motivated to migrate by marriage (86.8 percent). Interstate migration due to employment therefore considers approx 45 millions of people .

COVID-19 effect

The COVID-19 crisis caused a massive reverse migration as it is estimated that 44 million people returned to villages at the first lockdown and 26 million at later stages. The data contained in PLFS points out that by mid-2021, 11.1 percent of all migrants had gone back to their former temporary areas of residence, and out of them, 53 percent reportedly did so permanently (thehindubusinessline.com). However, most of the returned migrants later on

migrated back to the cities, because rural ways of living were not providing sustainability to them especially at sowing times and due to social desires (Drishtiias)

Patterns Spatial

Migration is very much local. Almost 88 percent of the migrants migrated in the same state (PLFS, 202021), and the remaining paltry 11.8 percent of the migrants migrated interstate . Some of the popular migratory routes are Murshidabad KOLKATA, Valsad Mumbai, Chittoor Bengaluru. The emphasis in intra-state migration brings out the concept of the proximity effect projected by Ravenstein (1885) whereby the shorter the distance, the cheaper and risk free the migration process is.

Drivers: Push and Pull Factors

Rural joblessness in the countryside, 7.8 percent rate of unemployment in April 2024, low farm revenues and the reliance on agricultural activities, combined with the fact that it contributes just 16 percent to GDP, drive people to the cities (CMIE, 2024). This migration is supported by the poor performance of rural health and education, as the literacy level in urban India is 87.7%, whereas in rural India, it reaches 73.5% (NSO, 2024). Similar to other individuals, migrants want safety nets and services and a better lifestyle.

Cities attract migrants with the prospects of gainful employment in the informal sector, which is associated with construction, services, and retail work and infrastructural construction

such as the Smart Cities Mission, which has not been thwarted by the COVID hit, is still in demand of labour (DrishtiIAS, 2025).

Demographic Implications

The demographic characteristics of the urban mover are that the population is mainly in the working age, and will be expected to add urban population and labour. Such megacities as Delhi (~28 million), Mumbai (~22 million) have sustained annual rates of growth (~4.1% in 2011 in the case of Delhi). Migration, besides raising the population, also raises the level of urban densities, land use pressure, as well as housing, transport, and public services demand.

Summary

To summarize, Indian internal migration can be discussed as following:

- **Scale:** almost 400 million migrants (~29 percent of population)
(pmc.ncbi.nlm.nih.gov)
- **Leading directions:** intra-state and rural-to-urban streams
- **Types of migration:** permanent, seasonal and very important circular migration
(pmc.ncbi.nlm.nih.gov)
- **Major factors:** open economy, marriage, education, as well as transitions in labour after the COVID

Most Migration flows in India remain local and within a 500 km radius, therefore housing demand pressure rises in nearby urban areas.

- **Expectations:** the rural pull is not that potent so as to intercept the return migration; urban areas still attract those returning migrants

This pattern of migration has a significant impact on how urban housing supply must adapt. In Section 4 we discuss the way that real estate markets maintain that continuity in response to these demographic changes and how developer strategies and government policies may intersect (or not) with the housing needs of urban residents, and new migrants.

Impact on Real Estate Demand

Migration in Indian urban areas has brought a lot of change in the formal real estate market. With the migration of millions of people to metro and Tier-2/3 cities to seek a better life, the housing sector has come up with high rise residential complexes and policy frameworks to make the most out of the land and bring profits to investments.

The Rapid Expansion of the Adult Housing Market

The Indian housing market has been plunged into a high growth cycle characterized by sudden tapers in sales and introduction of new projects. In a survey organized by Reuters among experts in the housing sector, it was predicted that the price of homes would increase by 6.5 percent and 6.0 percent in 2025 and 2026, respectively, whereas rent rates were expected to grow by 7 percent and 10 percent, which is much faster than inflation (~4-4.4 percent) (reuters.com).

The data provided by Knight Frank and Anarock shows that approximately 86,345 house units were sold during the first quarter of 2024 in Indian major cities, which makes it the highest quarterly sales within the last six years and demonstrates an increase in the demand (barrons.com). Mumbai topped the list with 23,743 houses seeing 17 percent increase in sales in the year on year base (barrons.com). All this trend can be attributed to migration demand-induced Trade and increasing access to finance through home loans.

Developer Shift to High-Density Projects

The trend is shifting as real estate developers are turning into--high-density residential model--as a way to maximize land utilized and maximize on demand. These are the skyscrapers, gated communities and multi-wing complexes and normally they are sold with lifestyle facilities like shopping malls whose appeal lies in the middle-income migrants. This kind of model is opposed to low-rise cheap housing, where the cost is naturally over-valued on the part of persons with lower income bands (Financial Express, 2023; Construction Week India, 2023) (barrons.com).

In high corridors such as the Dwarka Expressway of Gurgaon, property values climbed to almost 2 times in the last 4 years- from 9434/ sq ft to 18668/ sq ft in 2020 to 2024- recording burgeoning demand brought about by infrastructure (e.g. new metros /bridges) (timesofindia.com).

Reduction in the supply of Affordable Housing

With luxury developments getting higher margins, affordable housing is getting narrower. According to a report of the housing crisis, the number of homes available in India at a price of 1 crore or less declined by 36 percent in the top nine cities namely Delhi, Mumbai, Bengaluru, Hyderabad, Chennai, Kolkata, Pune, Ahmedabad, and Surat (geosquare.in).

Although schemes such as PMAY-Urban and RERA have given an impetus to housing delivery the supply of affordable homes is limited.

Policy Frameworks Fueling Formal Development

- ***Under Real Estate (Regulation & Development) Act, 2016 (RERA):*** Registered 1.38 lakh projects and reconciled the same number of grievances up to January 2025, which strengthened the trust of buyers and triggered the rise of the demand (moneycontrol.com).
- ***Pradhan Mantri Awas Yojana Urban (PMAY-U):*** The sanctioned 1.18 crore house, grounded 1.14 crore and was completed 89 lakh till the end of 2024 but as of now 47 per cent of the built houses still lie unoccupied because of lack of trunk infrastructure and misaligned beneficiary preferences (moneycontrol.com).
- ***Affordable Rental Housing Complexes (ARHCs):*** This was launched in 2020 to accommodate the migrant worker and 83,534 units were sanctioned, but 5,648 were inaugurated, in many cases, because of rent prices that were outside of reach (₹800 and ₹4,500 per month) and stakeholder preferences that were not met (newsclick.in).

Such policies are just a sign of a formal-sector growth in size but they tend to under-serve the population they are meant to serve.

Credit access and financial incentives

Housing finance is also improving and leading to urban housing boom. As of March 2024, the National Housing Bank (NHB) has given out 49 460 crores of subsidy under the Credit Linked Subsidy Scheme (CLSS) of PMAY-U and helped more than 21 lakh households (hindustantimes.com). In conjunction, a 10,000 crore Affordable Housing Fund is established to back up developers and infrastructure development, also strengthening the appeal of an urban property (acash.org.pk).

Further, the purchasing power of the middle classes is being increased because the interest rates are declining and the disposable income of these classes is rising as the economy is growing more due to technology (reuters.com).

Disparities in Benefiting Migrants

This boom is mostly enjoyed by the middle-income and high-income sections. Reuters (2024) observed that although luxury properties were sold like hot cakes (an increase by 75 percent year-on-year), only 19 percent were sold (affordable houses), which was the lowest in the last 10 years (barrons.com). All of this contributes to the siphoning of the supply further into the low-income demands thanks to the weakened rupee allured by the RBI even to the high-net-worth buyers of non-residential assets (Barron's, 2024) .

The new infrastructural additions are roads, transport networks, access to airports, attracting new development, boosting the prices of land and resale, and increasing gentrification in the previously low-income areas (Barron s, 2024; Times of India, 2025) .

Implications for Housing Affordability

- ***Decline in the supply of affordable units:*** a drop of 36% in most major urban cities (orfonline.org, geosquare.in).
- ***Increasing prices:*** Rents have increased 7-10-percentage and home prices also reported a rise of 6.5-percent (2025) to 7.75-percent (2024) .
- ***A low uptake on PMAY units:*** almost one-half of the houses lie unoccupied (47%), commonly because of the lapse of the basic infrastructure (indianexpress.com).
- ***Increased unaffordability of rent:*** ARHCs underperformed in meeting the requirements in terms of affordability and demand (newsclick.in).

As shown above, housing prices in top cities have surged up to 79% between 2019 and 2024, further reducing affordability for low-income migrants (Statista, 2024).

When looked at in this chart, one will find that in major metropolitan cities, such as Bengaluru, Delhi and Mumbai, there has been a sudden growth in the value of the property and in some cities the growth has been as high as ~80 percent over a five-year spread. It conforms to the discourse that formal real estate is becoming closed to low-income and migrant houses.

Policy Responses and Limitations

Maharashtra Slum Rehabilitation Authority (SRA)

Under the new Slum Rehabilitation Authority 1995, it provides the alternatives whereby the same property is subject to being improved by the development done by the possible actors called the private developers of the slum dwellers using the Transfer of Development Rights (TDR). But in real scenarios, a number of SRA initiatives have been shelved and people report

sub-standard building quality and deprivation of living sources since they have been asked to move to vertically high rises (Desai & Mahadevia, 2019).

PMAY-U Pradhan Mantri Awas Yojana Urban

In 2015, PMAY-U started aiming at achieving 20 million affordable urban housing units by 2022. It includes:

- In-situ Slum Redevelopment (ISSR)
- Credit Link Subsidy Scheme (CLSS)
- Affordable Housing in Partnership (AHP)
- Beneficiary-Led Construction (BLC)

Although more than 12 million houses have gotten approval by 2023 (MoHUA, 2023), there have been sluggish uptakes of the houses in high-cost metros and a large number of migrant households also fail to fit in because they are not documented.

Model Tenancy Act, 2021

The Model Tenancy Act was advanced to bridging the gaps in rental housing, the goal of the act was to formalize the tenancy agreements and promote the use of rental housing privately. Adoption at the interstate level however is low.

Displacement and Evictions

Infrastructure undertakings, mega events and urban beautification initiatives have initiated mass evictions. In 2000 and 2020, more than 3.5 million individuals were forcefully displaced in informal settlements in India (Housing and Land Rights Network, 2021). Almost 2 lakh of the people in Delhi were tossed out before the Commonwealth Games in 2010. Quite a

number of these evictions have not been carried out through rehabilitation in contravention of national and international housing rights.

By 2021, eviction threats were being evoked against more than 200,000 urban residents a year (HLRN, 2022), with little due process involved. Those migrants who have no documents proving their stay or IDs to vote, are particularly susceptible.

Response to Urban Planning and Policy

Integrated infrastructure and Smart Cities Mission

The Smart Cities Mission (India) (2015-2025) has chosen 100 cities to redevelop with the focus on infrastructure, technology, and the services to the citizens. As of mid-2024, it had rolled out around 8,062 projects at a helping of 164,550 cr, of which 7,502 (=91%) had been finished and about 150,300 cr (=91%) had been used up . Among the most important accomplishments is:

- Integrated Command & Control Centres (ICCC) should be in functionality in the 100 cities
- More than 84,000 CCTVs, 17,000 km of intelligent water systems, 1,740 km of intelligent roads and smart waste frameworks in 66+ cities ([impressivetimes.com](https://www.impressivetimes.com))
- There are 44,054 dwelling units and 6, 312 rooms in community housing including their night shelters and hostels ([impressivetimes.com](https://www.impressivetimes.com))

The Smart Cities Mission has positively affected service delivery and coverage in targeted areas but critics have pointed out uneven results and little difference in low-income housing developments since they only prioritized tech-focused smart areas instead of the outreaches of the cities that should be emphasized .

Ministry of Housing and Urban Affairs. (2024). *Smart Cities Mission overview infographic*.

Government of India. <https://smartcities.gov.in>

- The **Model Tenancy Act (2021)** aims to formalize rental markets and provide security to tenants and landlords. However, adoption across states remains inconsistent, limiting its potential to provide affordable rental housing to migrants.
- The **Delhi Government's 2025 policy reform** aims to simplify in-situ slum redevelopment. Over **675 slum clusters** housing more than **3 million residents** can now be redeveloped via public-private partnerships, with EWS units and higher FAR given to developers for mixed-use development (timesofindia.indiatimes.com).

Rental Housing & Community Upgrading

Recognizing the importance of rental housing for transient or circular migrants, the government unveiled the **Affordable Rental Housing Complexes (ARHCs)** under PMAY-U in 2020, targeting migrant workers and students. Though **83,500 units** were proposed, only **5,600+ units** have come online, mainly due to non-competitive rent levels (₹800–4,500/month) deterring low-income uptake .

Community-led upgrades, like Mumbai's Dharavi redevelopment and Ahmedabad's Slum Networking Project, suggest mixed-use, in-situ approaches may yield more sustainable and livelihood-preserving outcomes. Ahmedabad's project, for example, upgraded **60 slums** with essentials and legal title, reducing evictions and boosting livelihoods .

Planning Tools and Geospatial Integration

Digital mapping is increasingly leveraged for inclusive pl Smart Cities Mission summary: the amount of cities, projects, size of funding, and implementation structure.

AMRUT and City Infrastructure

The Atal Mission for Rejuvenation and Urban Transformation (AMRUT) initiated by the government along with Smart Cities in 2015 targeted core infrastructure, such as water, sewerage, and green places. In 2023, projects worth more than 78,910 crore were grounded based on AMRUT in order to meet the basic amenities with inclusive urban requirements (en.wikipedia.org).

Redevelopment of slums and In-Situ Rehabilitation

There is a variety of programs to cope with informal housing:

- In Maharashtra, Slum Rehabilitation Authority (SRA) employs Transfer of Development Rights (TDR) to offer incentives to the private developers in order to ensure in-situ redevelopment. The reality of it is that there is still the concern of bad construction standards and loss of location close to economic centers (en.wikipedia.org).

Another program that was initiated in 2015 is Pradhan Mantri Awas Yojana - Urban (PMAY-U) that aims to cover 20 million of housing units in four verticals: ISSR, partnership-based construction, credit-subsidy on home loans, and beneficiary-led construction (en.wikipedia.org).

In 2023, more than 12 million homes were sanctioned. The program has leveled up formal coverage but fails to cover many urban migration as a result of documentation challenges and mismatching of location .

Such geographic intelligence increases the capacity of affordable housing planning and service delivery, especially in informal or peri-urban areas.

Policy Challenges and Gaps

Although such frameworks are ambitious, a number of gaps remain:

- ***Disparity in investment:*** Even though Smart City and AMRUT funding are very helpful to the central/medium-income localities, they do not cater to the needs of slums and peripheral communities (impressivetimes.com).
- ***Overlap of programs and limitations:*** There are many fragmented agencies and weak urban local bodies due to which projects are affected by delays and mismatched governance .
- ***Scale vs. impact:*** With 150,000+ crore amassed to support Smart Cities only ~44,000 formal low-cost shelter units were constructed, which barely match the migrant demands (impressivetimes.com).
- ***Tenant insecurity:*** As the number of states adopting the Model Tenancy Act is low, most migrants continue to remain in informal rental markets that lack stability in rents and tenure.

Emerging Strategies

- ***Re-purposing SPVs:*** Smart Cities SPVs have been asked to keep developing cities even after 2025, concentrating on sustainability, digital governance and partnership with the private sector (timesofindia.indiatimes.com).
- ***State reforms:*** The new in-situ slum redevelopment model in Delhi offers lax group housing norms, expedited approvals and novel FAR incentives within the DDA territories (timesofindia.indiatimes.com).
- ***Such policy and planning tools show a developing city course of action:*** focusing on both large investments in technologies and the strategic housing interventions. However, to enable planning to successfully incorporate migrants and to lessen informality, there is a need to be more committed to cheap housing and rental housing, effective land management, and spatial inclusivity.

Discussion

Indian urban migration has created two forces namely, formal real estate expansion and coinciding informal housing growth. In this case, we will discuss these movements and what they entail socio economically in a critical way.

Balancing Formal Demand and Informal Expansion

The incredible migration flow of around 230 million number of expected housing demands in 2047 (Singh, 2023) has triggered the formal developers and government programs

such as RERA and PMAY-U in boosting additional housing supply. But statistics indicate an extreme imbalance: units priced under 1 crore decreased by 36 per cent across the big cities, whereas 86,345 units sold during the first quarter of 2024 equals a 6-year high (Knight Frank & Anarock, Reuters Poll, 2024) .

In low-income migrants who may work in the ill-regulated construction and street vending sectors (93 percent of all workers in India are informal; ILO, 2018), demand is still insufficiently met. The average number of persons spending in a room by migrant families is 4.4 persons implying poor supply in terms of formality as well as non-affordable rents (Chaudhary, 2024). The outcome of this is that informal settlements are becoming the main place of affordability in preference to choice - this is a symptom of formal inability.

Spatial Segregation and Equity, Tenure Insecurity

The informal housing is not only a reflection of an economic marginalization but also a spatial and social one. The dwellings in non-notified slums (approximately 59 percent of the total slum dwellers) are not recognized by the municipality, which denies the residents of basic amenities and exposes them to recurrent evictions (MoHUA, 2020). The number of people who have been forcefully displaced in the city area exceeds 3.5 million between 2000 and 2020 (HLRN, 2021).

The redevelopment of slums with schemes such as SRA in Maharashtra even has the effect of displacing people of their livelihood centers. Even with provision of infrastructure, social and economic webs can be inadvertently cut in the process of in-situ high-rise rehabilitation.

Formal migrants tend to imitate the exclusivity of the middle-class enclave in gated and vertical housing developments and would not interact easily with other classes. This increases the spatial segregation in urban areas resulting in unfair urban form.

Policy Mismatch and Institutional Gaps

A major issue here is the policymaking gap between makers and migrants:

Approximately 12 million homes have existed with PMAY-U authorization, and they are limited by documentation (typical of circular and informal migrants) and the mislocation of projects (MoHUA, 2023).

The number of ARHC units is poor because only 5,648 of the 83,500 planned were in operation, because of affordability and administrative barriers (MoHUA, 2023).

Most of the states have not adopted the Model Tenancy Act, which places the migrants in unsafe, informal renting relationships.

In addition, Smart City and AMRUT projects have mainly focused on middle-income infrastructure as opposed to low-income housing or the remote settlements. Although the Smart Cities Mission has already spent 150, 300 crore, less than 44,000 formal low-cost houses have been provided (MoHUA, 2023).

Delhi is one such case where 675 slum communities were redeveloped due to some ambitious reforms in the urban policy but success of such reforms can only be ensured when they have effective implementation, community approval, and when they get integrated with

livelihood centers.

Long Term Urban Implications

Further ignoring affordable housing and rentals may increase inequity and urban precarity. Poor environmental and social issues can be even worse in informal settlements in relation to the lack of sanitation, overcrowding, and disaster exposure.

Ignoring the housing needs of migrants, on the other hand, will affect not only the larger economic growth. Construction, manufacturing, and services industries are run on the labor force of migrant workers and they honor the urban GDP. The inability to provide them with housing that would be safe and sufficient impairs productivity and social stability.

Inclusivity can be improved by including a formally constructed and informally constructed housing system in terms of building step-by-step with improvement, regulating the renting and presence of slums in situ. There are prospects of models such as Slum Networking in Ahmedabad and Dharavi upgrading of houses, access to services, and livelihood.

Key Takeaways

- ***Non-alignment of needs and supply:*** The formal market focuses on the population segment of the upper- and middle-income categories, and low-income migrants have few opportunities.

- **Service and tenure exclusion:** The exclusion of the housing which is inaccessible and capitalism leaves aside the socio-legal aspects of urban development assuming a worse state of spatial inequality.
- **Jumbled up policy:** There are too many schemes, but there is a lack of adoption and implementation in general, thus the policy seldom reaches the goals set.
- **Integration is important:** Good integration in the city needs to make an overlap of the housing, infrastructure, livelihood, and land governance programs.

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